



Strategic Orientation 2

Getting familiar with common
strategic concepts

Our Session Objective

Welcome, it's all about you and your business today...

- Everyone contributes to collaborative thinking.
- Planned Breaks & Housekeeping
- **My/Our Role in the Planning Session is to Challenge What You Believe To Be True!**
- **Your Role is to be Ready To Explore Issues/ Ideas With an Open Heart and an Open Mind.**
- The Objective (expectations) for Today's meeting is that we 'Discover What We've Been Missing'!
- Record what we learn.
- Build an action plan going forward.

Strategic Orientation (Session Scope)

Page	Framework	Concept Summary	Helps Your Client To...	Include (Yes/No)
13	Porter's 5 Forces	This concept explores how Customer Trends, Supplier Tactics, New Entrants and New Substitute/Alternative products can all impact your business at the same time.	To look out for changes in the market and anticipate how everyone will react; so you can be ready to take advantage of the situation.	
15	Product Fit Review	This concept examines the market/customer resistance by clarifying the major purchasing obstacles and competitor comparison.	By challenging the assumptions around customer demand for BOTH the problem to be solved - AND - the manner in which it is solved by your product/service - VS that of competitors.	
17	Progression of Economic Value	This concept explores the 'Business Imperatives' that relate to each stage of the value chain and suggests that the 'bright new thing' becomes the 'minimum standard' in the future.	To identify what to focus on, depending on how they 'add value' to their customer.	
20	Price For Problem Solving	This concept Identifies the various pricing components in your service delivery (as they relate) to the value client's place on their problem being solved.	This allows for a leveraged (delegated) team delivery AND multiple price points. Clients with more time (to do things themselves) can save money; those that just want the 'problem to disappear' can pay a premium for time saving and risk reduction.	
	Price For Delivery Medium			
22	Vertical Integration	This concept explores the supply and distribution chain to see if you need to own more of the value chain components.	To identify asset purchases or alliances that could help protect existing market share and sales margin or new products that could increase your sales.	
23	Horizontal Integration	This concept explores the additional products or service that you could cross-sell to existing customers or would attract new customers to your business.		

Strategic Orientation (Session Scope)

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25	Market Diffusion Theory	This concept explores the introduction of a new product (similar to product life cycle) but focuses on how the market reacts and the 'tipping point' required to achieve success.	To identify where they are in the marketing process so they don't waste money in the wrong areas. <i>(kind of like the law of diminishing return / flogging a dead horse)</i>	
26	Boston Model	This concept assists in the understanding of market position in terms of pricing, clientele & market acceptance. Originally designed to identify business divisions that should be sold, this model can be applied for both sale & growth discussions.	Stop and think about how the business/ product is positioned against competitors and determine if this is by direct strategy or failure to execute tactics.	
27	Product Life Cycle	This concept explores how a new product or service becomes popular (gains acceptance) and then over time, becomes outdated and no longer relevant. (Decline)	Understand the likelihood of your client's product or service being replaced (or eroded) by new product offers, new technology or product substitutes.	
28	Technology Points	This concept explores how a product goes through stages of finding the right price point to improve market acceptance; how the cost of production comes down as sales volumes go up; that increased sales often result in lower sales prices and that eventually, big name brands will drop out and move to the next new thing.	To identify the 'forces at play' surrounding their product (or service) and to identify the opportunities (and threats) that could emerge in future. (Luck is often defined by preparation and timing)	
30	Sigmoid Curve	This concept explores the natural 'highs and lows' of a product and to identify the signs that it's time to make change. It also suggests the time to invest in new ideas is while you're still enjoying positive cash flow from your existing product.	Look ahead and plan the investment/ improvement / development of your product now, BEFORE sales are dropping and you don't have the cash to afford the necessary changes.	
31	Blue Ocean Strategy	This concept explores how you can attract customers that wouldn't normally purchase your services or product.	To explore ways to make your business, product or service stand out from all your other competitors.	

Strategic Orientation (Session Scope)

Page	Framework	Concept Summary	Helps Your Client To...	Include (Yes/No)
33	Revenue Streams	This concept explores using unrelated products to increase foot traffic or shorter sales cycle offerings, vs related upsell or 'after sale' offerings.	Help your client to explore possible revenue alternatives or ways to diversify, whilst minimizing risk.	
35	Risk Reward Matrix	This concept explores the idea that risk can be categorised into 'Knowns', 'Partial Unknowns' and 'Complete Unknowns'.	Identify new opportunities relating to market expansion and product diversification by only testing one 'unknown' at a time.	
36	E. Deming's Volatility Theory	This concept explains how Volatility can be measured in terms of Probability and therefore, can be a better 'predictor' of events going forward.	Develop more meaningful targets and reports.	
38	Senge's Circles of Causality	This concept reminds us of how the 'equal and opposite reaction' law (in Physics), applies to business improvement also.	To expect the negative consequences in advance so they don't get confused and change their plans (when they should have kept going)	
39	The 8 Profit Levers	This concept explains the Accumulative effect of Incremental changes in business activities.	Identify the 'little things' that can contribute to massive business growth.	

Why Use Frameworks?

A guided thinking process achieves two key aims;

1. Enables a 'deeper' understanding and exploration of the issues and possibilities and;
2. Aligns your thinking on singular aspects at a time.

(Remember to grasp the concept 'in theory' before relating it to your own business; this improves comprehension & memory recall.)

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7 Growth Focus Tactics

Growth through Presence & Scale

Growth through Alliances & Acquisition
(Expansion)

Growth through Market Extension &
Product Divergence

Growth through Delegation,
Replication or Quantification
(Intelligence)

Growth through Clarity & Strategy
(Orientation)

Growth through Enthusiasm
& Creativity
(Foundation)

Maturity

Exit / Decline

Growth through
Realisation
(Succession)

Leapfrog

Reach

Leverage

Lifestyle

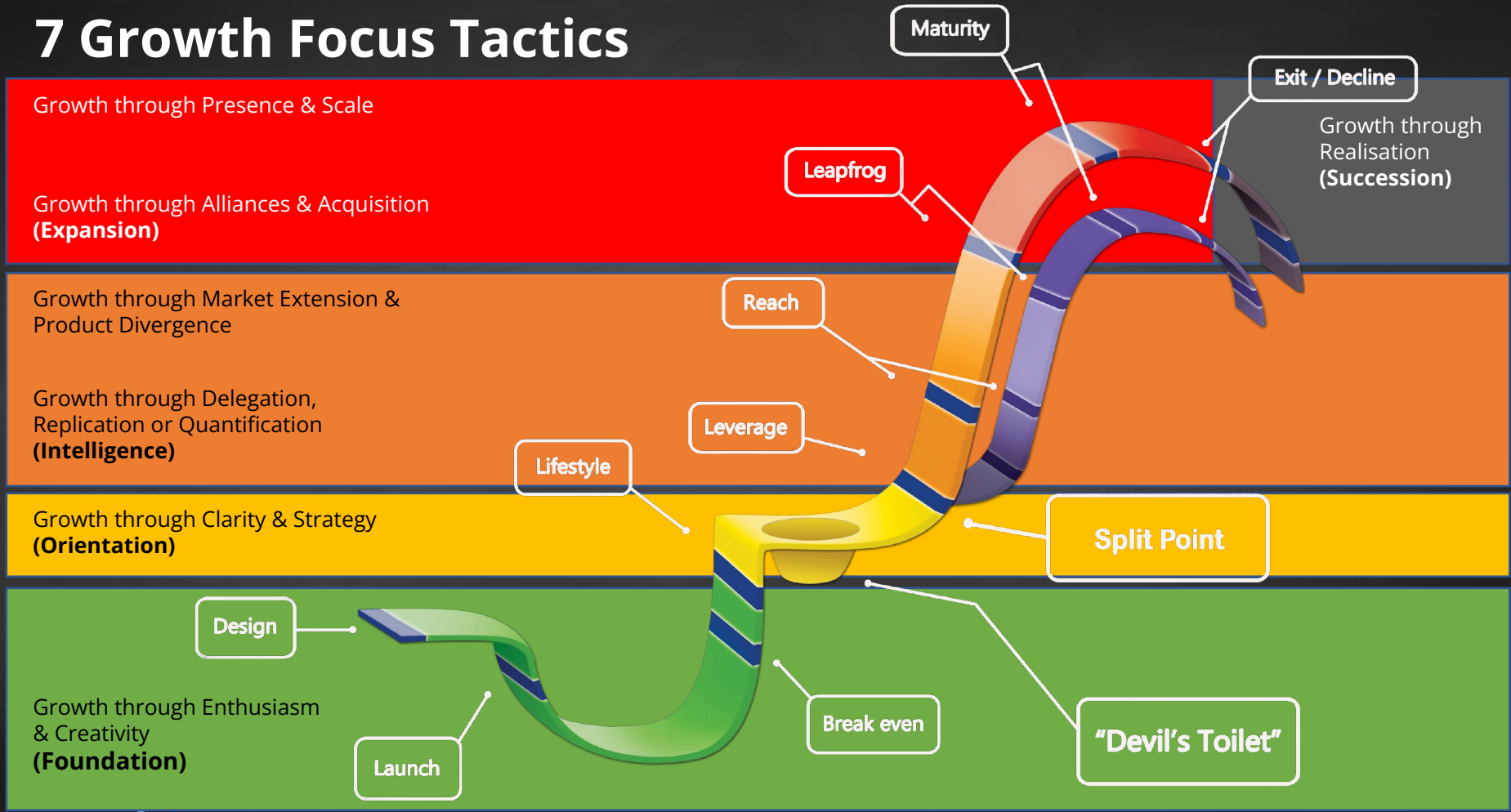
Split Point

Design

Launch

Break even

"Devil's Toilet"



The 5 Layers of Complexity +

'The Psyche Error'

Succession	Principles that give rise to understanding The Separation of Value & Worth. "Learning to get out of your own way"	(Trying to Avoid) Over-Identification
Expansion	Principles that give rise to understanding the Chaos of Interdependency and Affect. "There's a fine line between Expansion and Explosion"	(Trying to Avoid) Over-Exposure
Intelligence	Principles that give rise to Contextual Awareness "Learning to Notice What You Don't Know"	(Trying to Avoid) Optimism Bias
Orientation	Principles that give rise to understanding Your Purpose & Meaning. "Knowing Your Why & How"	(Trying to Avoid) Complacency
Foundation	Principles that give rise to understanding How things Work. "Being Curious – Open Heart & Open Mind"	(Trying to Avoid) Confirmation Bias

Psyche Error	Drivers & Manifestations
(Trying to Avoid) Role-Identification	Identification is the psychological phenomenon by which people 'Ascribes to oneself, the qualities or characteristics of another person'. Role Identification may involve the mimicking of a specific mentor or aspirational figure but it may also be the 'acting out' of the Ego to appear consistent with one's own super ego ideals. In effect, people start acting how a 'Boss' should; in whatever they believe the circumstance requires. How they dress, what they drive, the way they treat subordinates etc. are all 'manufactured' to appear consistent with 'appearances'. This manifests in poor decision making or the inability to 'get out of their own way' which is often viewed as being inauthentic. This is more evident during times of planned succession since the 'business person' has replaced the 'person' and the feelings of the 'lost self' are now very confronting. What will life after work look like? Who will value my opinion...?
(Trying to Avoid) Over-Exposure (Mere-Exposure Effect / Familiarity Principle)	The mere-exposure effect is a psychological phenomenon by which people tend to develop a preference for things merely because they are familiar with them; this is sometimes called the familiarity principle. The effect is driven by a desire to allocate 'Cathexis Energy' towards new (current) or perceived (future) threats rather than challenging what is known. The known is safe (hence the term "better the devil you know...") but the future represents fear or challenge; this is even more tiresome if you challenge the known at the same time! In business this is supported by the "this is how we've always done it" phrase. Additionally (in businesses with existing scale) it relates to an avoidance of commitment or attempts to minimise exposure. This manifests in actions of 'Keeping What We Have' rather than focusing on 'Achieving What We Need'. <i>(Nokia and Kodak are classic examples of this principle)</i>
(Trying to Avoid) Optimism Bias	Optimism is in response to life/death instinct which is born out of the thought processes of 'mental time travel'. The ability to imagine the future is critical for our survival, it allows us to plan ahead, save food and resources for times of scarcity and endure hard work in anticipation of a future reward. However, the ability to view our long term future also allows us to consider our own death; so we've learnt to practice Hope & Faith as a means of re-directing our mental energy. The negative manifestation of Optimism Bias is that we seek to delete all NEGATIVE information in an attempt to 'hold on to what we've got' EVEN IF IT SUPPORTS OUR EXISTING BELIEF. In effect, we can learn information but choose to ignore it even if we believe it to be true, if it threatens our attachments or security. (This differs from confirmation bias where we accept all information in support of current beliefs and act accordingly)
(Trying to Avoid) Complacency	Complacency is driven by the mind's (and body) requirement to recover after sustained periods of mental and physical exhaustion. Freud discussed the notion of Cathexis Energy (a combination of physical and emotional energy being consumed via neurotransmitter & electrical activity) as being our life force or 'Libidinal Energy'; it's what drives us. From time to time we need to rest and in business this is often prevalent upon reaching a stage of perceived security. The negative manifestation of this is the inability to maintain attention and focus on the external environment or 'proven' internal processes; especially when owners seek to extract themselves from day to day activities. (which is entirely consistent with the next growth tactic – Leverage)
(Trying to Avoid) Confirmation Bias	One of the key drivers of confirmation bias is 'Cognitive Dissonance'. (reality not aligned with desires) In an attempt to avoid feeling anxiety we search for information (or shared views) to support our current view, so that we are less confronted by our 'True Reality'. This manifests into us avoiding the truth and repeating same (or similar) mistakes (behaviour) whilst suppressing our growing fears. This is perfectly normal when establishing a business since we are taught that clarity and singular focus are essential elements of our own success; we can therefore be misguided into thinking that we're not ignoring reality but instead, maintain focus on our goals. (This should be a clue since our goals are the same desires for which our reality is yet to be aligned...)

Strategic Focus

Enter your current business stage in the model provided to learn the Growth (Focus) Tactics & Common Psyche Error for yourself.

(You may have completed this in another session; if so, your information will have 'carried forward' - it's the same table.)

Strategic Statements

Complete the Strategic Statements table to record your defined Strategic Objective and (Overarching) Business Strategy.

(You may have completed this as part of your Orientation part 1 session - it's the same table)

Porter's (Michael) 5 Forces

(Where's the pressure coming from?)

How easy is it for new entrants to enter your marketplace? Is it conceivable that your current supplier could become your future competition for example?

Are customers likely to be motivated to pay premium prices in return for 'latest style/fashion', technology or prestige/status? Are customers concerned about your business safety/ environment / ethical impact?



Expectations, Demands, Drivers of Needs & Wants.

Technology, Innovative approach Barriers to entry.

What are the alternatives to your product or service? Could your customers solve their problem a different way?

Is there competition amongst your suppliers?, do they actively compete for your business and if you had to shift to a new supplier, how easy would it be?



Porter's 5 Forces

Complete the Porter's 5 Forces table to record your observations & response to the changing (economic) environment.

(You don't have to follow any particular order; just capture your thoughts 'as you go')

Product (Fit) Review (best when also reviewed in conjunction with Porter's 5 Forces framework)

Product to Market (CUSTOMER) 'Fit'.

- Are you solving the most important problem for the most important customer?
- (If you're not easily converting at the early stage of your sales process it suggests poor market fit & by that we mean, not something customers naturally want)
- Ask yourself "Am I hoping my customers will do something that they're NOT motivated to do?"
- What are the product enhancements that you believe will DIRECTLY INFLUENCE an increase in sales or, Lower the Cost of Doing Business?



Resistance

Product to Competitor Comparison.

- Who are your main competitors?
- What is their 'flagship' product?
- How comparable is your product to theirs?
- Based on the std Competition Fronts list, what are the areas your competitors appear to be focusing on?
- Re-above, Are these the fronts that your customer feedback (research) proves to be MOST VALUED by your TARGET customer?
- How can you best respond to competition?

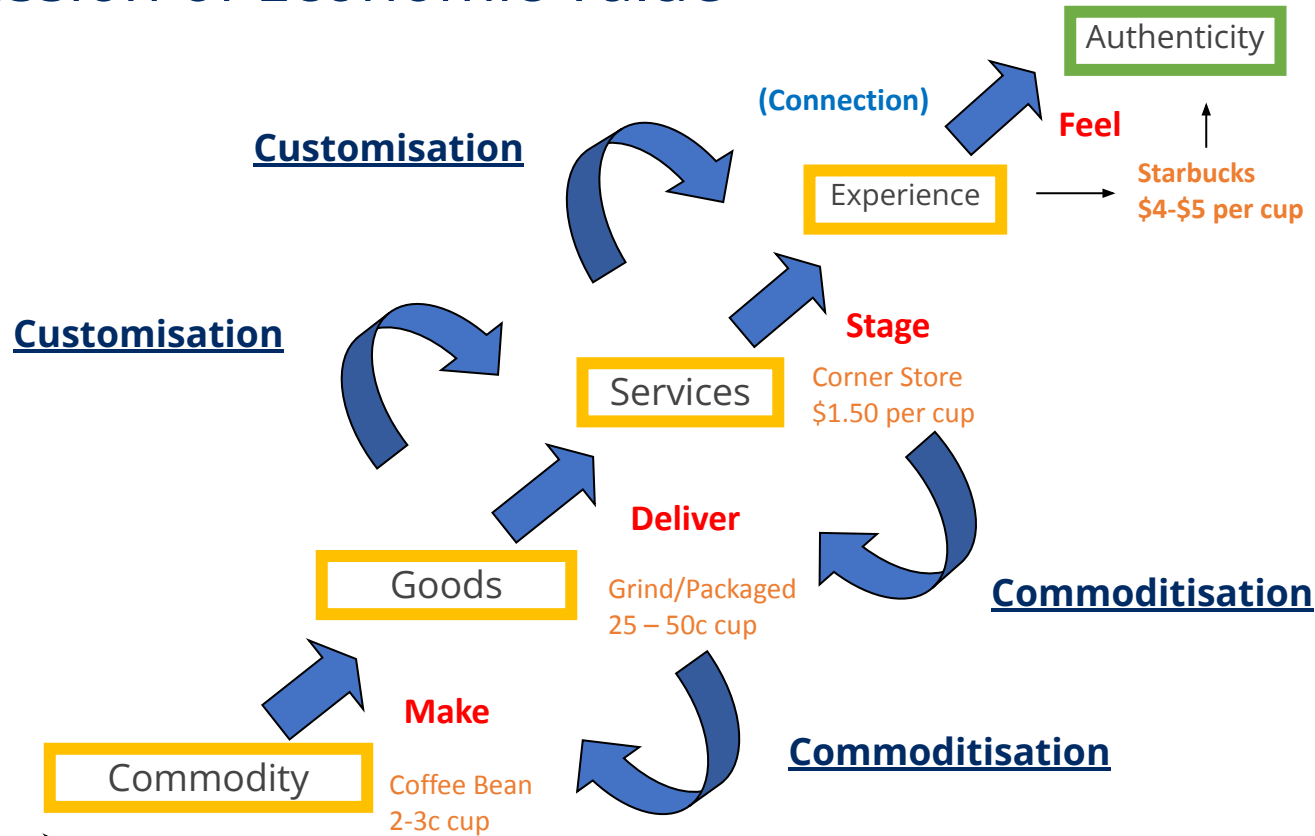
Product Fit Review

Complete the Product Fit table to record your thoughts regarding customer and competitor resistance.

(You don't have to follow any particular order; just capture your thoughts 'as you go')

Progression of Economic Value

(Joseph Pine)



“Customers will gladly spend both time and money for an experience of authenticity” (Joseph Pine)

Economic Output	Business Imperative	Consumer Sensitivity
Experience	Render	Authenticity
Services	Improve	Quality
Goods	Quality Control	Costs
Commodities	Supply	Availability

Progression of Economic Value

(How we cope with the cycles of 'Customisation vs. Commoditisation')

Our Business Output (Delivery Promise)	Our Business Imperative Tasks	Our Consumer Sensitivity Tasks
Our quality means cheaper in the long run	Quality Control	Monitor & Record Failures / 'Comebacks'
1 Enter your thoughts here...		
2		
3		
4		
5		

Price For Problem Solving

Tell Them	Show Them	With Them	For Them
Why for Free	What for Fee	How for Premium Fee	Sorted for Maximum Fee
- Reasons to act - Causes of Issue - Effects of Action/Inaction - Documentation	- General actions to undertake - General sequential order - What success looks like - Demonstration	- Specific actions to undertake - Specific sequential order - Mistakes to avoid - Observation & Feedback	- Detailed discovery - Qualified diagnosis - Tailored Solution - Convenient & Risk Free

Price For Delivery Medium

Once to Many	One to Many	One to One
Videos, Hard Copy etc	Webinars/ Workshops	Zoom or Face to Face
- Presentation of Information - Quizzes for measure of comprehension - Useful for pre-session priming	- General presentation with ability to ask questions & interact amongst peers. - Great for mass (audience) skills transfer via peer based role play.	- Specific feedback & advice - Perfect for specific skills transfer via (guru based) role play.

Price For Problem Solving - Complete the Tables

What We Will Tell Them	What We Will Show Them	What We Will Do With Them	What We Will Do For Them
For Free	For A Fee	For A Premium Fee	For Our Maximum Fee
1. A 2. B 3. C 4. D	1. A 2. B 3. C 4. D	1. A 2. B 3. C 4. D	1. A 2. B 3. C 4. D

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1. A 2. B 3. C 4. D	1. A 2. B 3. C 4. D	1. A 2. B 3. C 4. D

Vertical Integration (Considerations)


**Are you looking to
Secure Margin or
Quality?**


Retail (Experience) the Tea

Cafe (Franchise or Direct)

Retail (Distribution) the Tea

Supermarkets, Dairies

Market (Wholesale) the Tea

Consider the options of Vertical or Horizontal Integration from the perspective of an 'Investor'.

Blend the Tea

That is to say, the extra business process should represent an opportunity to generate profits, by that activity, in isolation.

Process the Tea

(Be careful; in your attempts to secure extra margin or control by absorbing an additional piece of your supply to distribution chain, you may well inherit a 'profit centre' that simply isn't feasible based on the volume you require to run your 'core business')

Grow the Tea

Own the land



Horizontal Integration (Considerations)

**Experience Related (Remotely) But Not Supportive of Core Product
Offer Nil 'Scale or Cost' Benefits
False Belief of 'Diversified Risk'**

Stereo
Headphones

Tea

Magazines

Chocolate

Coffee

Tea

Biscuits

Crockery

**Experience Related, Supportive of Introductions to Core Product.
Possibility of Supply, Management or Production Cost Savings.
(note: one of these is not like the other...)
{Perishable, Consumable, Low Price-Points}**

Vertical/ & Horizontal Integration Tasks - see examples

(How is our PROFITABILITY strengthened via Horizontal / Vertical Integration?)

	Vertical Integration Tasks	Horizontal Integration Tasks
Priority Tasks	Conduct feasibility on purchasing own timber mill	Conduct feasibility on purchasing electrical firm
Owned vs. Contract of Supply or Formal Alliance?		
Support Tasks	Discuss contract of exclusive supply with local sawmill	Discuss exclusive contract of supply with electrician
Customer Experience vs. Bottom Line Focus	Bottom line - profit oriented	Customer experience - we control the job priorities

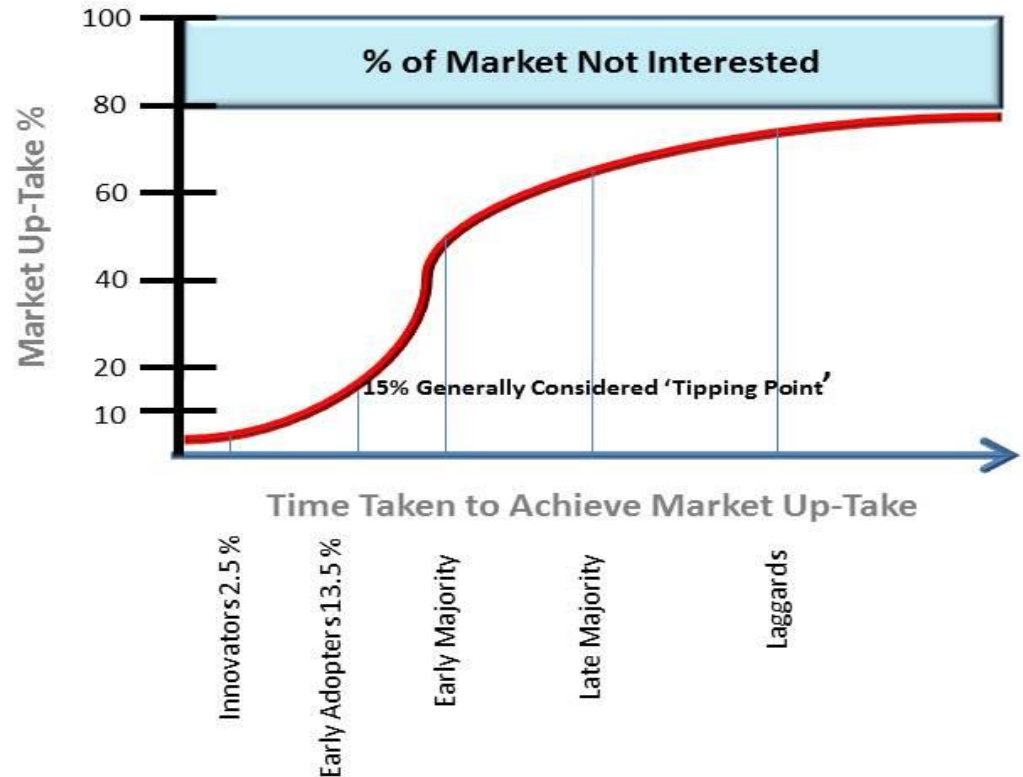
Market Diffusion Theory

Market Diffusion Theory relates to the concept of market Acceptance and Saturation.

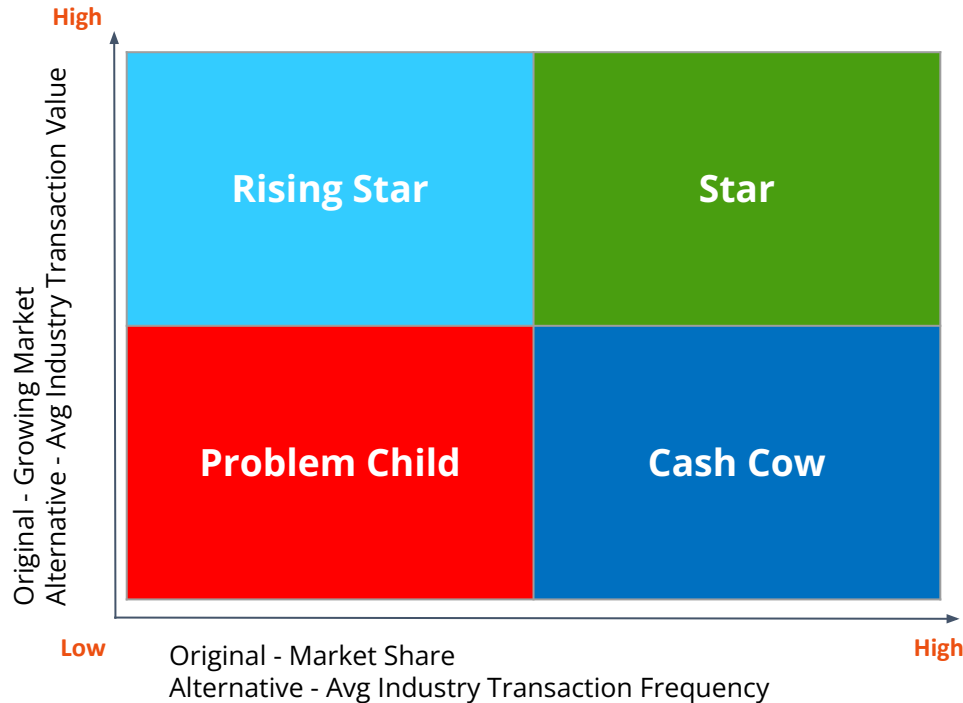
The theory explores the natural stages required to bring a new product (or service) to market; the costs and time associated and the likely timing of increased competition once the market is 'educated'.

(You may also see the resemblance to the 'Law of Diminishing Return' as the growth curve reaches the 80 percent threshold.)

Market Diffusion Theory can also be correlated to lower material and manufacturer costs as sales volume increase; as well as Premium Pricing points for products considered 'The Latest' with dropping prices once they're considered 'The Norm'.



Boston Model



The first step in the Boston Model is to identify your business in relation to your key competitors. The second step is to collect data that proves you're right...

In the Original Boston Model, the Problem Child describes a business with low or declining market share in an industry which is experiencing widespread growth. *(In effect, the industry is booming but you're not.)*

In the Alternative Boston Model, the Problem Child describes a business where customers spend less *(per transaction)* than with your competitors AND they come back less often.

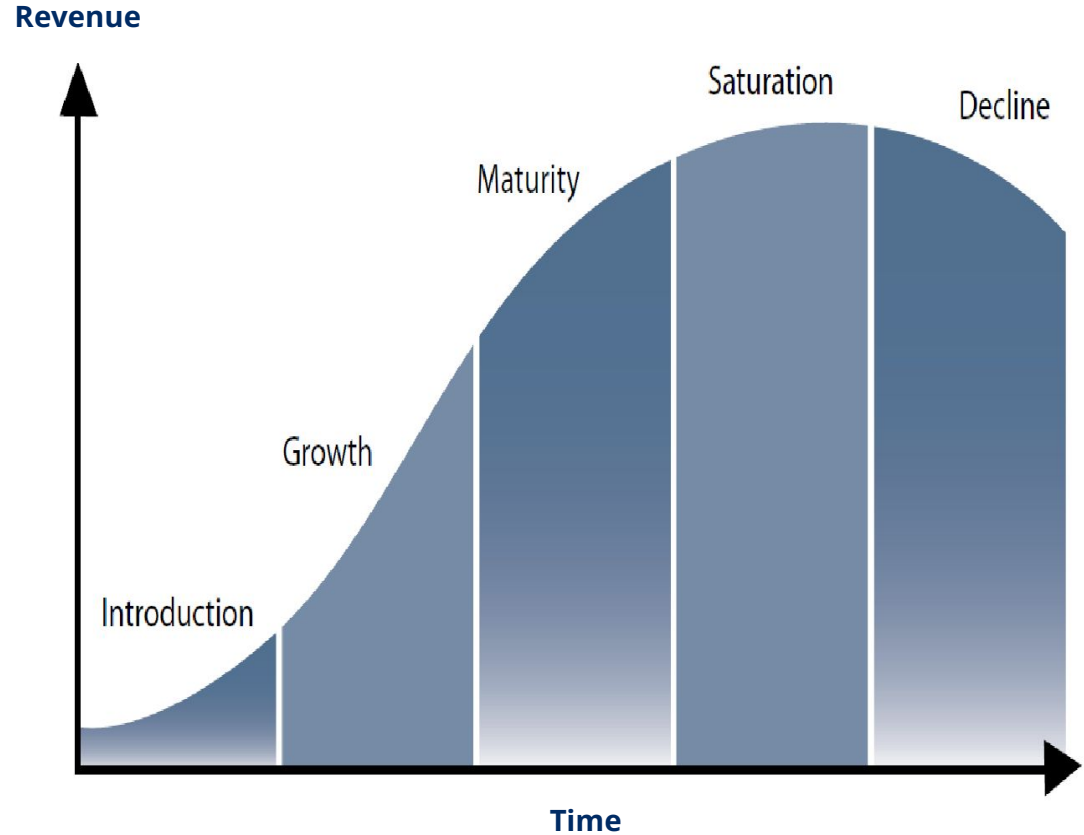
A useful question to discuss is... "which is easier to achieve; getting a client to spend more each time they come in OR, getting them to come back more often?"

Product Life Cycle

The Product Life Cycle relates to the concept of Product Suitability when faced with Newer (updated) or Alternative (serves the purpose but performs differently) product offers.

The Key difference between market diffusion and the product life cycle is that (with diffusion theory) a market may have reached saturation whilst the product still enjoys acceptance and still fulfills a market need.

Whereas (with product life cycle) it's the product itself that is considered obsolete.



Technology Points

(Chris Anderson - Wired Magazine)

The Four Key Stages:

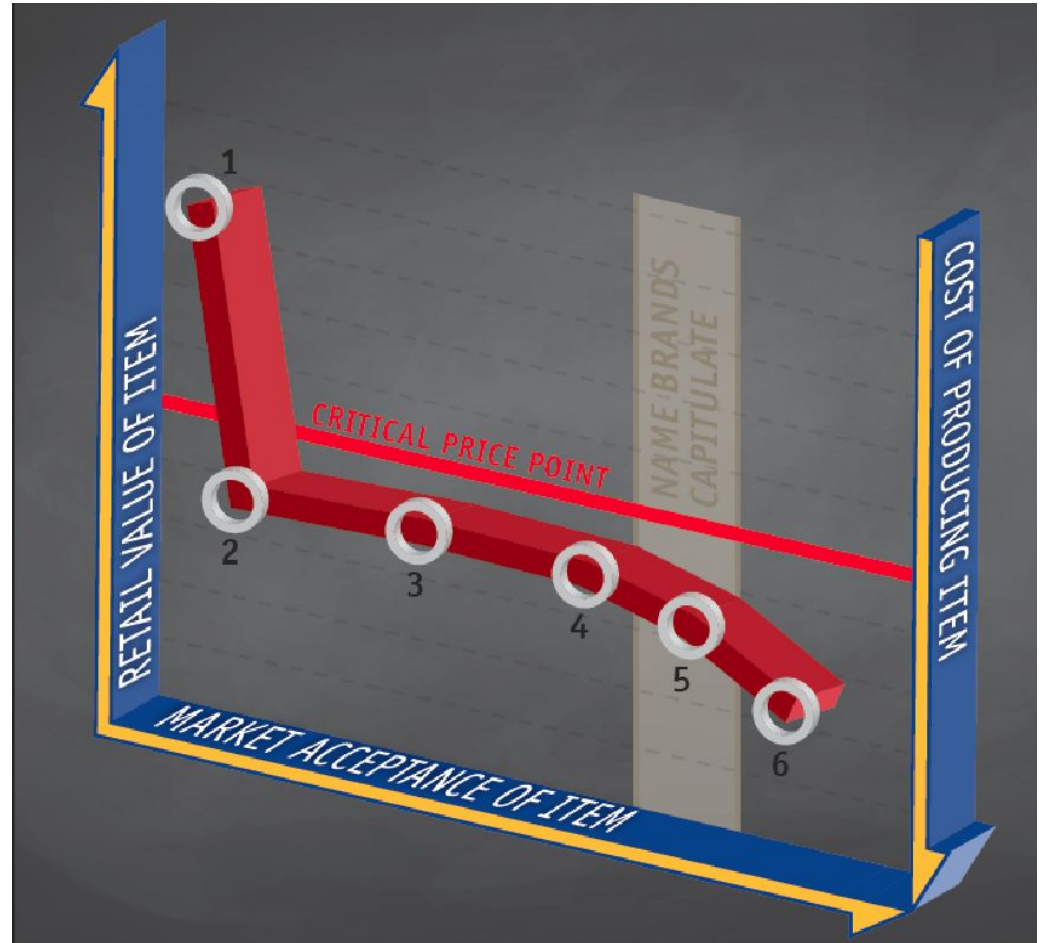
- **Critical Price Point***
- **Market Acceptance**
- **Displacing Established Technology**
- **Becoming Ubiquitous (ever-present)**

New technologies often enter at a 'Premium' price point due to the cost of developing the technology, higher manufacturing costs (due to smaller sales volumes) and the 'uniqueness factor'.

Once competitors release their (same or similar) versions then the race is on for the 'critical price point' that will entice the 'Early Majority' to demand the product/ service for themselves.

The next focus is on manufacturing / delivery efficiencies that can permit a lower price point whilst maintaining (or improving) profit margins.

The final 'price point' issue is when 'brand name' producers capitulate and withdraw from the market in search of the next 'best thing'. (Opportunity still exists in the tail - argues Chris Anderson)



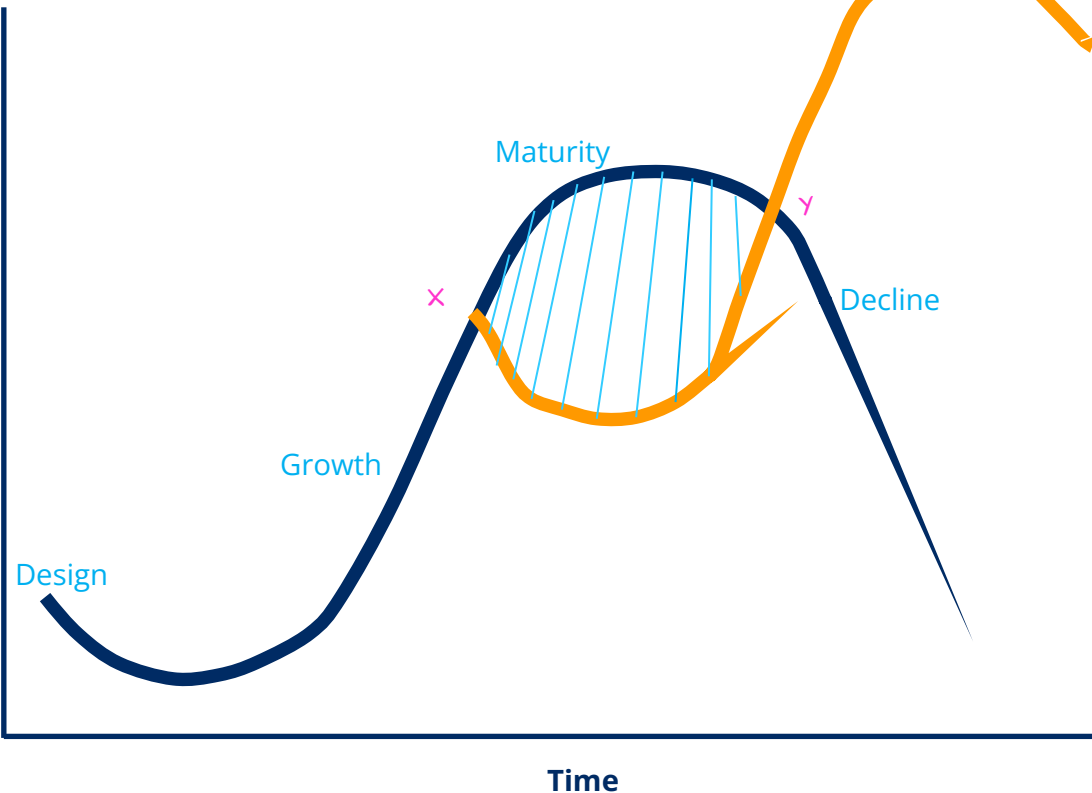
Product (Diffusion) Curve & Lifecycle

Complete the Curve & Cycle table to record your 'market acceptance' observations.

(Feel free to modify the frameworks to suit. You may translate the product lifecycle to MARKET-CYCLE instead. Growth, Maturity, Saturation & Decline phases can all be observed in the property market as an example)

The Sigmoid Curve

Progress



The Sigmoid Curve (not dissimilar to a Sine Wave) seeks to determine the most efficient flow of energy and momentum.

In a business instance, to determine the Optimum Time to interrupt a Growth Curve before it reaches its peak.

(So as to Time the Introduction of another Product / Service so that the Predictable Negative outputs in the beginning, are offset by the still continuing growth of the original product / service)

Blue Ocean Strategy

Std Competition 'Fronts'

(Red Water Zone)

Price

Quality / Endurance

Convenience & Location

Consistency

Availability / (Volume / Scale)

Customer Experience

Effectiveness (Accuracy)

Efficiency (Reduced Wastage)

Easier (Familiar or More Simple)

Competitors seek to differentiate against each other but stay within the confines or 'normal' industry practice.

Customer needs & wants are considered but not completely centric to business structure.

Faster, Safer, Lighter

Tastier, Quieter, Softer/Harder

Cooler / Warmer / Smoother / Sharper /
Aroma / Luxurious

Higher Status

Uniqueness / Tailored, Exclusivity

Newest / Latest

Aesthetics

Shocking or Disruptive

Humourous

Popularity vs. Private

The development of a NEW (Blue Ocean) strategy is aimed at identifying the key Frustrations / Concerns / Frictions that cause customers NOT to purchase. (from ANY provider)

You must seek to appeal to those customers that are on the 'Fringes' of purchasing but don't consider the standard industry offer as being of value or relevance to them (IN ITS CURRENT FORM)

This would leave you serving in a parallel industry – often with the aim of Lower Internal costs – meeting a customer need/want that is currently not being met by any of your competitors.

The most cited example is Cirque de Sole which reduced costs by removing animals from the show (in response to society backlash) yet increased the 'Theatre Experience' within a 'Circus Environment', thus allowing them to INCREASE ticket prices.

Their shows were uncontested (directly) and allowed them to 'own the industry'.

Blue Ocean Strategy

Complete the Blue Ocean Fronts table to record your observations & response to competition in your marketplace.

(You don't have to follow any particular order; just capture your thoughts 'as you go')

Revenue Streams

'Up Stream' (examples)

- Car Wash
- Car Servicing
- Manufacturer Apparel
- Car Seat Covers
- Aftermarket Exhausts

These sales occur independent of a car sale and may attract a potential car buyer in future.

These sales are also designed to provide a diversified revenue stream for when the CORE product sales are struggling due to Economic or Supply issues.

Therefore, these products must be price pointed accordingly and seek to meet a clear or existing market demand.

(Another example of this could be a cafe to build regular prospect relations)

Core Product / Service

Example: Used Car Sales

'Down Stream' (examples)

- Finance & Insurance
- Alarms & CD Players
- Paint Protection

These sales are the direct result (contingent) on the Core product or service being sold in the first instance. This is considered your typical 'cross-sell'.

(Our) Revenue Streams

Our 'Upstream' Revenue Opportunities	Our Core Product / Service	Our 'Downstream' Revenue Opportunities
Car Wash	Used Cars	Warranties
		Finance
Our Thoughts to Support These Ideas		Our Thoughts to Support These Ideas

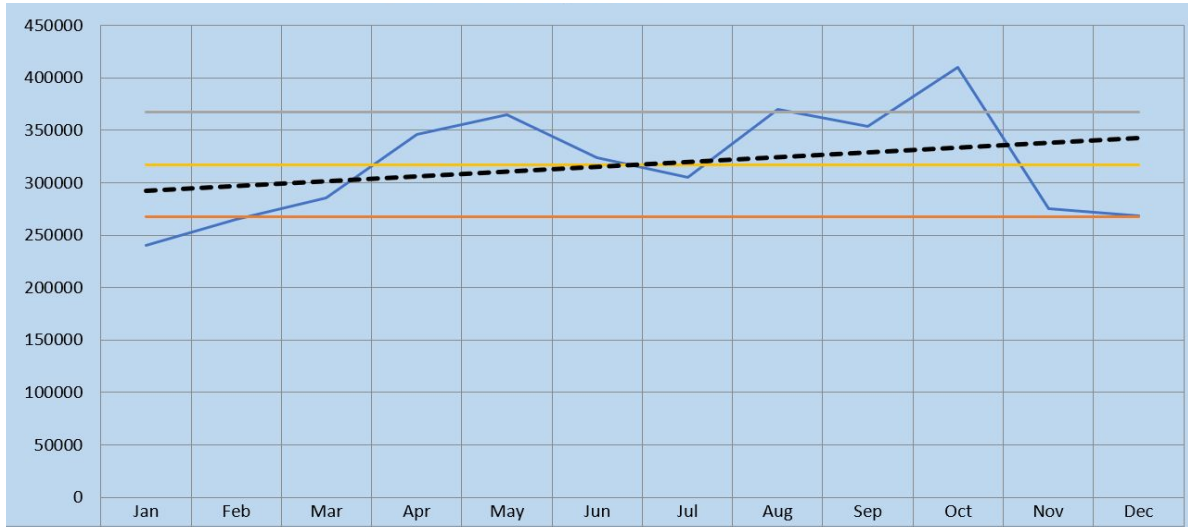
Risk Reward Matrix



W. Edward Deming

(Theory of Volatility)

"Volatility is expected and carries with it a degree of predictability; understanding the nature of your volatility is key..."



1. Common Cause
(High Frequency, Low Impact)
2. Special Cause
(Low Frequency, High Impact)
3. Seasonal Cause
(Predictable pattern / trend)
4. Tampering
(Over-reacting to common cause)

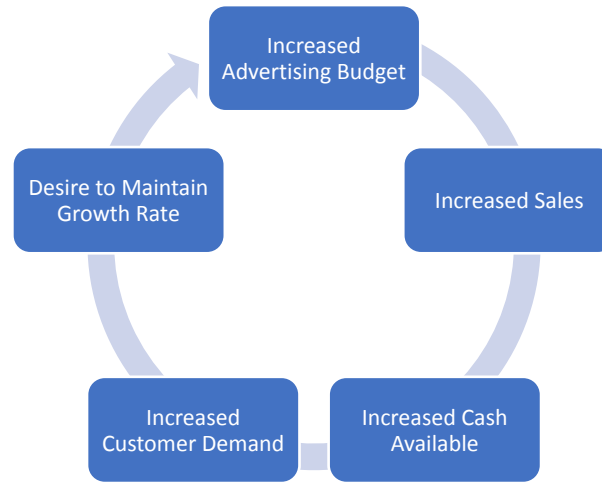
(68 percent of data falls within 1 std deviation point)

If you review data in 'Hindsight' it can be useful to calculate the average of something; from this you may identify factors of 'Frequency' or 'Typicality'. Calculating your statistical deviation rates however, provides far greater PREDICTIVE data since you then apply a Range (Tolerance) to the figures you use to plan business activities and expectations. This will greatly improve your ability to INTERPRET your data/results as you seek the CAUSATION of data / events in alignment with the 4 event types listed to the right on this page.

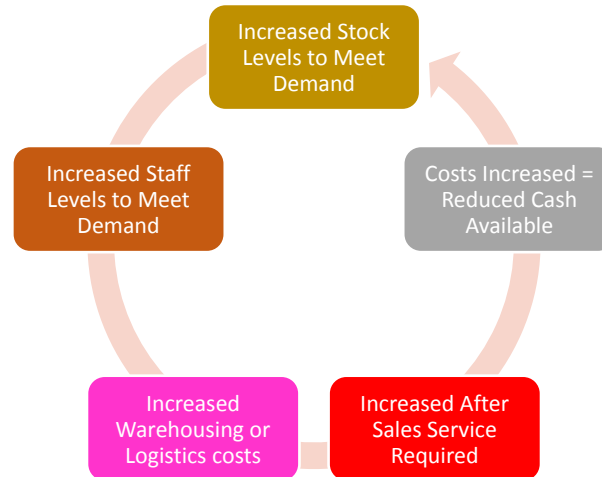
(Our) Volatility Graph Observations

1. Common Cause (High Frequency, Low Impact)	2. Special Cause (Low Frequency, High Impact)	3. Seasonal Cause (Predictable pattern / trend)	4. Tampering (Over-reacting to common cause)
1			
2			
3			
4			
5			
6			

Peter Senge's Circles of Causality



“Every system has inherent toxicity; the predictable negative outcomes are not (necessarily) an indicator that your system is failing or has been poorly executed but rather, a natural consequence of the actions you have taken.”



The 8 Profit Levers

Number of Foot-traffic

(Market Attention – Outbound Message Views)

Number of Prospects

(Shop Walk-ins / Phone-ins or Social 'Click Thru')

Number of Customers

(Percentage of Prospects that Become Customers)

X

Average Customer Spend

(Total Sales Value ÷ by Total Number of Transactions)

Average Customer Frequency

(How often do they buy per mth or year)

= Total Revenue

Sales Margin

(The Difference Between How Much You Sell It For minus What It Cost You)

Activity Driven Costs

(The Cost of Gaining A Customer)

Fixed Costs (Overheads)

(Total <Regular> Cost of 'Being Open For Business' – Even When Nobody Buys)

= Total Expenses

The 8 'Lever' Efforts In Brief

Our Aims	The Profit Lever
Gain their ATTENTION	Number of Foot-traffic
Capture their INTEREST (Create Self Relevance)	Number of Prospects
Secure their CUSTOM	Number of Customers
Keep them WANTING MORE	Average Customer Spend
	Average Customer Frequency
Buy Materials/Stock FOR LESS	Sales Margin
Achieve BRAND RECOGNITION (So They Seek Us Out)	Activity Driven Costs
Reduce SPENDING/OVERHEADS	Fixed Costs (Overheads)

The 8 Profit Levers

Complete the Profit Lever tables (1 & 2) to record the 'quick win' actions that will help drive business profits.

(if you're running short of time you can identify just 1 task per lever for now; do the rest when time provides)

Notes

This is where you add your notes...